

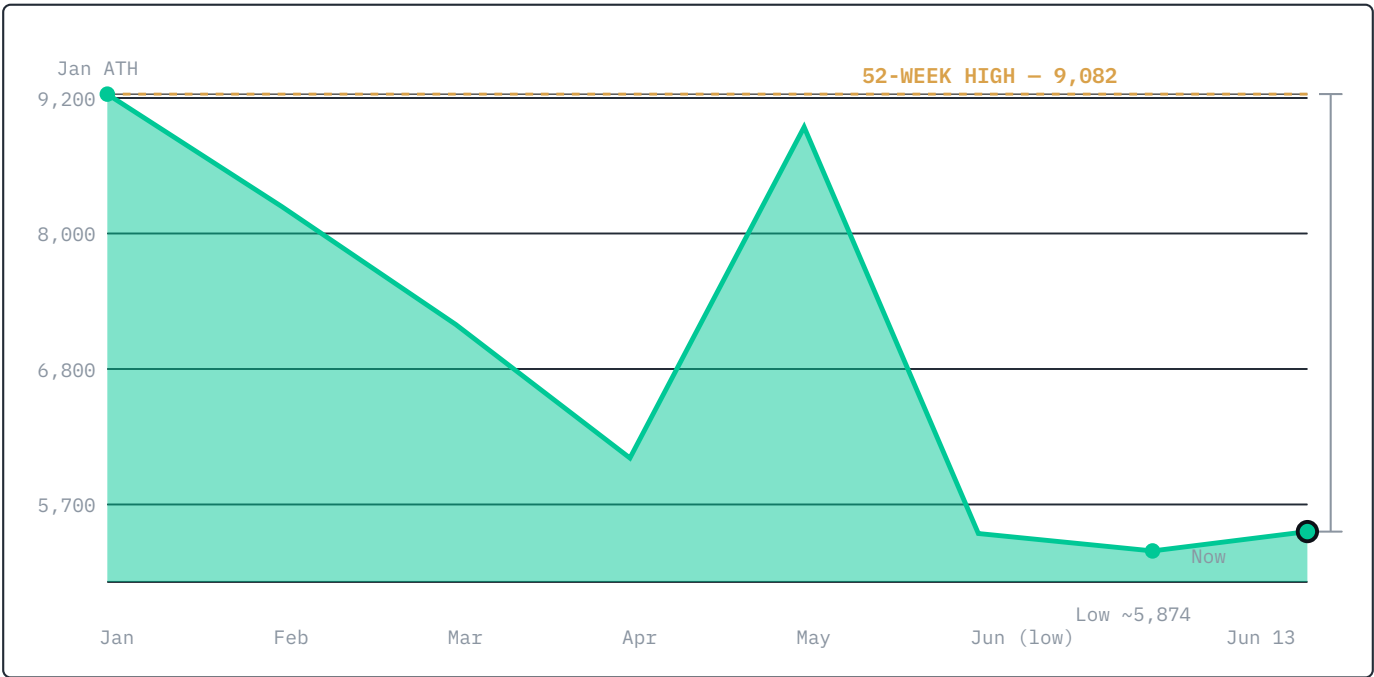
The 52-Week Anchor

VERITAS RESEARCH TEAM
IHSG · 13 JUNE 2026

IHSG CLOSE 6,007.66 +7.38% (week)	52-WK HIGH (ANCHOR) 9,082 14-15 Jan 2026, ATH	DISTANCE TO ANCHOR -33.9% 3,074 pts below
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IHSG vs. its 52-Week High

Index path from January ATH through the latest rebound. Dashed line marks the anchor.



Where IHSG Sits in the Anchoring Framework

George & Hwang (2004): the further from the 52-week high, the slower the market re-prices news – until the gap begins closing.

FAR ZONE

Early June low – 5,874 (-35.3%)

Hormuz shock pushes price far from anchor. Strong underreaction – good news priced in slowly.

CLOSING GAP

IHSG now – 6,007.66 (-33.9%)

Sharpest weekly rebound of the correction (+7.38%). Gap narrowing, anchoring effect starting to reverse.

Anchor — 9,082 (52-week high)

NEAR ZONE

If recovery reaches this area, anchoring predicts continuation rather than reversal – per the paper's no-reversal finding.

THREAD — 6 TWEETS

1/6 • HOOK

IHSG closed **+7.38%** this week to **6,007.66**, after collapsing from an ATH near **9,082** in mid-January – a ~34% drawdown from the 52-week high, now seeing its sharpest bounce of the correction. George & Hwang (2004): distance from the 52-week high beats past returns as a predictor.

2/6 • THE ANCHOR

Traders anchor on the 52-week high. Far below it → slow re-pricing of good news. IHSG sits ~33.9% below its January peak – squarely in underreaction territory.

3/6 • THE SETUP

The drop to ~5,874 came from AS-Iran/Hormuz risk – a bad-news shock pushing price far from anchor. The +7.38% rebound with **Rp3.15T** foreign inflows looks like the anchoring effect starting to reverse.

4/6 • NO REVERSAL TRAP

Key finding: 52-week-high-driven returns don't mean-revert long-term, unlike traditional momentum. A continued rally toward 9,000 isn't inherently a setup for a multi-year reversal.

5/6 • CAVEATS

Original study: US single stocks, 1963–2001 – not an EM index in 2026, and IHSG's move is tangled with Hormuz de-escalation, BUMN buybacks, BI policy, and rupiah strength (17,865). A lens, not a signal.

6/6 • TAKEAWAY

IHSG sits well below its anchor, rebounding fast with returning foreign flow – the pattern George & Hwang describe as continuation, not reversal. **9,000** remains

the reference point for the recovery ahead.